Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** More firms allowed to enter a market A is not correct because this would mean more regulations to implement it B is not correct because this increases the amount of regulation C is not correct because regulations would be needed to oversee the issuing of licences	**(1)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in wage rates A is not correct because this would lower costs B is not correct because this is likely to increase supply of raw materials and therefore reduce cost-push inflation D is not correct because this likely to cause demand-pull inflation rather than cost-push inflation	**(1)**

Question Number	Explain one reason why the UK Government gives subsidies to firms in the renewable energy market. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect the environment **(1).** Subsidies encourage firms to provide energy from renewable sources such as solar energy **(1)** which reduces the pollution from fossil fuels **(1)** • One reason is to lower the cost of renewable energy **(1).** Subsidies allow renewable energy firms to lower prices **(1)** encouraging consumers to switch to cleaner energy sources **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Analyse the benefits of having a fiscal surplus for a country such as Nauru. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending • In this case, Nauru had a surplus of 16.1% of GDP in 2019 • The Government of Nauru could use the fiscal surplus in several ways • It could use the surplus to reduce taxes for the 10,824 population of the island • Alternatively, it could fund new education and training programmes or improve existing public services such as healthcare • If the Government of Nauru has any government debts, it has extra funds to repay them • This reduces the interest payable on any debt and helps the economy in the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Assess the effectiveness of pollution permits in protecting the environment for a country such as the US. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in the US state of Colorado • Pollution permits are a market-based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as power stations a legal right to pollute up to a certain amount • If a power station produces less pollution/waste it can sell its pollution permits to other power stations/firms • Permits create a financial incentive to pollute less because power stations can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement and it is difficult to know how many permits to give out to power stations/firms in Colorado • If the US Government is too generous in the level of pollution the permit allows, there will be little pollution reduction • If the US Government is too strict in the level of pollution the permit allows, power stations/firms may complain it adversely affects output because they cannot comply • There may be an incentive to cheat and hide the amount of pollution a firm creates. This could make the scheme ineffective • There are alternatives to pollution permits which may be more effective such as fining the power stations on the amount of waste produced • A combination of measures may be the most effective way to protect the environment	**(9)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 1 of 10 · Question 3 part d · 6 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage of spending on all existing infrastructure projects that was spent on renewable energy on India in 2019. You are advised to show your working. **Answer**	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 2 of 10 · Question 1 part h · 6 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part h in this mark scheme extract

1(a)	**AO1 1 marks** **A** rises	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **D** a reduction in trade barriers between members	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a firm and 1 mark for reference to different countries An enterprise/company/firm **(1)** that produces/sells/operates in more than one country/many countries **(1)**	**(2)**

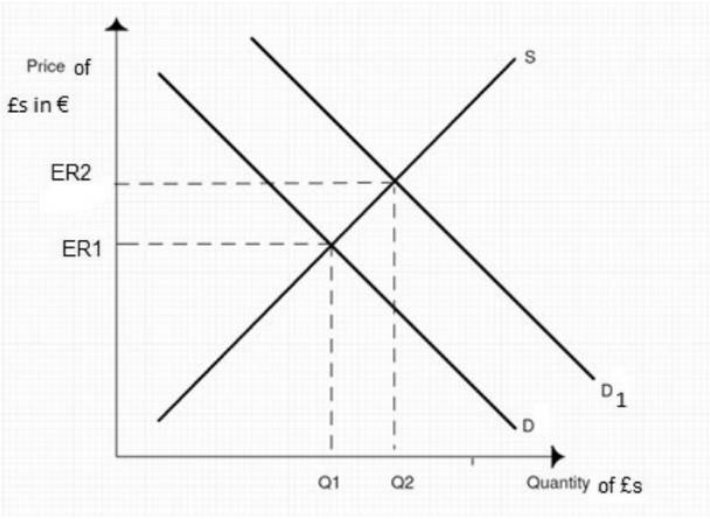
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for further development. The productive potential will increase **(1)** due to greater investment in capital goods **(1)** **OR** The productive potential will increase **(1)** as firms invest more from greater profits **(1)**	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 2 of 10 · Question 1 part h · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 271.7 + (-22.4) **(1)** = €249.3bn **(1)** Award 2 marks if the correct answer is shown, with euro symbol, even if no calculations are shown Do not award marks for formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 2 of 10 · Question 1 part h · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the reason being in context • One reason is because economic growth can improve living standards for the population **(1).** Growth of 0.4% leads to people having higher levels of income **(1).** This can lift people out of poverty in the UK **(1)** • One reason is because economic growth can result in higher levels of tax revenue for a government **(1).** This is due to higher levels of income within the economy **(1)** resulting in more revenue for public sector services in the UK such as education/healthcare **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 2 of 10 · Question 1 part h · 6 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending, in this case 1.3% of GDP in 2016 and expected 0.4% of GDP in 2017 • The government of Singapore has extra funds and these funds can be allocated to pay off any government debts • This reduces the interest payable on any debt and helps the economy in the future • The government of Singapore could use the fiscal surplus to reduce taxes • It could fund new education and training programmes or improve existing public services such as healthcare	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 2 of 10 · Question 1 part h · 6 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question Number	Answer	Mark

2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 3 of 10 · Question 2 part e · 3 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 3 of 10 · Question 2 part e · 3 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 3 of 10 · Question 2 part e · 3 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 3 of 10 · Question 2 part e · 3 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 4 of 10 · Question 3 part a · 1 mark

2020 JAN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** **B** government revenue is greater than government expenditure	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **A** appreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is for business/consumer confidence **(1).** If prices of goods and services are stable at 3% **(1)** this can help consumers/firms plan for their future spending **(1).** • One reason is to keep Cyprus internationally competitive **(1).** This may lead to higher export sales if competitors have higher than 3% inflation **(1),** thus reducing unemployment **(1).** Accept any other appropriate response.	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 4 of 10 · Question 3 part a · 1 mark

2020 JAN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Changes in the interest rates in South Africa will affect whether people will want to deposit money in South Africa • If South Africa has higher interest rates relative to other countries it will become more attractive to deposit money in South Africa • This is often referred to as hot money • Savers will get a better rate of return from saving in South African banks – now 6.75% • Therefore demand for the South African Rand will rise causing an appreciation of the currency	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 4 of 10 · Question 3 part a · 1 mark

2020 JAN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Cuts in business taxes can help provide a firm with additional funds to expand its factors of production • Lower business taxes can also provide an incentive to firms to increase investment thereby increasing output • This is likely to result in increasing GDP and employment • The US has already lowered business taxes from 35% to 21% and has plans to reduce this further to 15% • This could result in firms setting up in the US rather than other countries such as Mexico who have a business tax of 30% thereby increasing productive capacity and total output from the increased investment **AO4** • However, MNCs might be attracted to countries in Figure 3 such as Canada and Ireland which have lower business taxes compared to the US • Lowering business taxes by such a large percent may result in less tax revenue for the US government rather than any increase in investment if firms do not locate in the US • Less government revenue may result in less government investment • There is no guarantee that firms will reinvest the additional capital into expansion and could just give the saving in taxes to shareholders in the form of dividends

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 4 of 10 · Question 3 part a · 1 mark

2020 JAN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 4 of 10 · Question 3 part a · 1 mark

2020 JAN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **B** Trade-off A is not correct because this is a result of inflation C is not correct because this the loss of the next best alternative D is not correct because this is the name for a group of countries with a preferential trading agreement	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Asset purchasing A is not correct because the central bank does not lend to firms B is not correct because this is the role of government D is not correct because is the role of the high street banks	**(1)**

Question Number	State one type of inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • Demand-pull • Cost-push	**(1)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

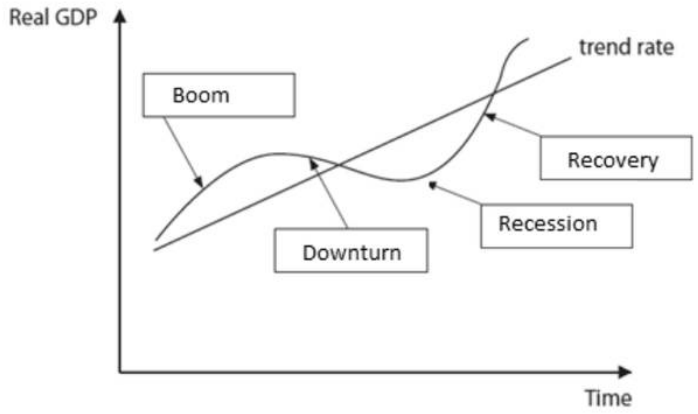
Question Number	What is meant by the term fiscal surplus? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to government revenue and 1 mark for reference to being greater than expenditure When government revenue **(1)** is greater than government expenditure **(1)** **OR** When government expenditure **(1)** is less than government revenue **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one disadvantage of deregulation for a country such as Indonesia. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is damage to the environment **(1).** Mining often has a negative impact on the environment **(1)** and this may increase as mines no longer have to follow government controls **(1)** Accept any other appropriate response.	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for boom, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The local government in Alberta is investing in a wide range of projects including repairing roads, bridges and upgrading technology in schools and universities • In the short term, building or upgrading the transport network can boost (aggregate) demand through increased construction activity and employment • Canadian construction, road and technology firms may require additional employees to complete the projects • In the long term, infrastructure investment can reduce unemployment by increasing the potential supply capacity of an economy • The latest unemployment figures increased to 8.7% in March so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.9bn may not reduce unemployment in the long term • There is an opportunity cost of these investments with no guarantee that unemployment will decrease in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the projects can add to (aggregate) demand and (aggregate) supply • The local government in Alberta should use a range of supply-side and fiscal policies to reduce unemployment	**(9)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 5 of 10 · Question 2 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** asset purchasing B is not correct because this is when a government sells assets to private investors C is not correct because this is the payment for borrowing funds D is not correct because this is the removal of government controls	**(1)**

Question Number	If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** UK exports to Italy will be cheaper A is not correct because the £ has depreciated against the € B is not correct because holidays in Italy will be more expensive for UK tourists C is not correct because Italian imports will be more expensive	**(1)**

Question Number	State **one** possible trade-off with economic growth. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** trade-off. • Inflation • Environmental protection • Damage to the environment Accept any other appropriate response	**(1)**

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Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 6 of 10 · Question 2 part g · 9 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question Number	What is meant by the term devaluation? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to decrease in exchange rate and 1 mark for reference to being caused by the government A decrease in the exchange rate **(1)** caused by government intervention **(1)** Accept any other appropriate response	**(2)**

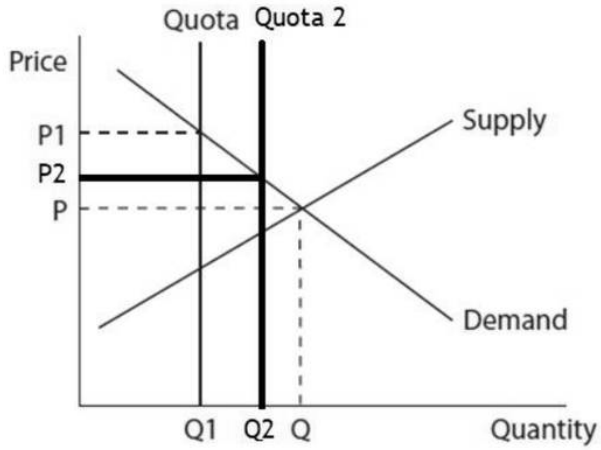
Question Number	Explain **one** way government spending on infrastructure can benefit an economy such as the US. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is to create jobs **(1).** The building of roads and bridges will require construction workers **(1).** This can help to reduce unemployment for the US **(1)** • One way is to improve the productive potential of an economy **(1).** Building roads and bridges can help to improve the transport of goods and services around the country **(1).** This can result in an increase in aggregate supply for the US **(1)** Accept any other appropriate response	**(3)**

9

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 6 of 10 · Question 2 part g · 9 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

10

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 6 of 10 · Question 2 part g · 9 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A fiscal surplus is when tax receipts are greater than spending • In this case, San Francisco is expecting a surplus of $108m • The fiscal surplus can be used in a number of ways, such as, further spending on homelessness and mental health which could benefit the residents who live in San Francisco • It could use the surplus to reduce taxes for the residents of the city • Alternatively, it could fund new education and training programmes or improve existing public services such as policing and public safety • If the city has any debts, it has extra funds to repay them with the $108m surplus • This reduces the interest payable on any debt and helps the local economy in the future **AO4** • However, there can be disadvantages to having a fiscal surplus • Often it means that tax rates may be too high in the first place and this could have a negative impact on the taxpayers of the city • The fiscal surplus could have been caused by cuts to spending on public services in the city • This could have a detrimental impact on low-income families who may rely more on these for basic needs • This could result in an increase in inequality in San Francisco in the long term • The impact will depend on how long the fiscal surplus can be maintained and how it is spent within the economy	**(9)**

11

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 6 of 10 · Question 2 part g · 9 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

12

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 6 of 10 · Question 2 part g · 9 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year? Answer	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in the fiscal deficit for Spain $\frac{-€87.43bn}{-€35.64bn} \times 100$ **(1)** = 245.31% **(1)** Award 2 marks if the percentage is accurately calculated as 245.31% even if no calculations are shown Award 1 mark if % is missing i.e. 245.31 with or without calculations shown No marks for formula	**(2)**

Question Number	With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain. Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal deficit is when government tax receipts are lower than government spending • In this case, Spain had a deficit of -€123.07bn in 2020 • A fiscal deficit requires the Spanish Government to spend more of its tax revenue on either paying the interest on the debt or using tax revenue to pay off the debt completely • This has an opportunity cost for the Spanish Government • The money spent on interest payments could be spent on public services such as education, healthcare and social provision • Persistent fiscal deficits result in future generations burdened with current debt • Fiscal deficits could result in an increase in taxation levels to help repay the debt or a reduction in spending on public services	**(6)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain. Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are grants given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Spanish Government is giving over €6.9bn in subsidies to renewable energy sources which currently accounts for 47% of energy produced in Spain • Renewable energy sources such as wind and solar help to reduce negative externalities caused by fossil fuels • Therefore, using subsidies is an effective way to protect the environment in Spain due to the amount of wind and sun the country receives • It is sensible to harness this for energy use rather than generating energy by fossil fuels • The subsidies will help create over 280,000 jobs in the manufacturer of wind and solar technology positively contributing to the Spanish economy • This should encourage the production of energy from renewable energy sources reducing the environmental impact **AO4** • However, the Spanish Government will have to fund the renewable energy subsidies creating an opportunity cost • The money used to subsidise renewable energy could have been used elsewhere within the Spanish economy • Spanish Government is already running a large budget deficit • Subsidies may cause inefficiency in the firms that produce energy equipment • It depends on the amount of the subsidies as over 50% of the country's energy needs are still from non-renewable sources • There are other ways in which the government can protect the environment which may have less opportunity cost to the Spanish Government • Regulation through the use of laws and fines could be used to protect the environment and the revenue used to tackle the environmental damage • The overall effectiveness will depend upon how much energy production from fossil fuels contributes to environmental damage in Spain	**(12)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 7 of 10 · Question 4 part b · 6 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

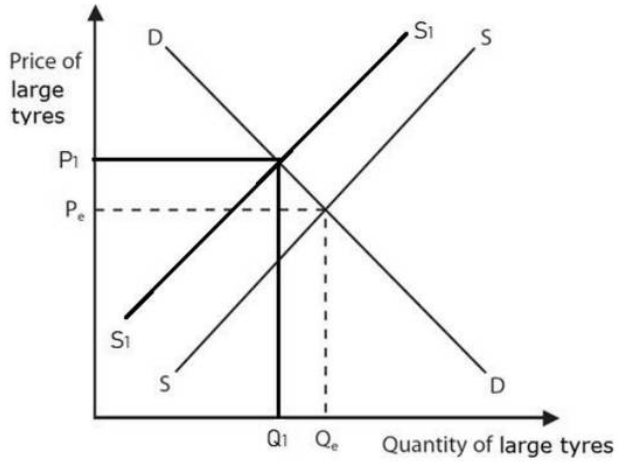
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 8 of 10 · Question 1 part b · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Access to a larger market within the bloc A is not correct because there is generally the reduction or elimination of tariffs among member countries B is not correct because delivery times might be faster with more integration within the trading bloc C is not correct because members can trade with any country outside of the trading bloc	**(1)**

Question Number	What is the **visible trade balance** in $bn for the country? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: B $60bn A is not correct because this is $80bn- $50bn C is not correct because this is ($300bn + $80bn) - ($240bn + $50bn) D is not correct because this is $300bn−$50bn	**(1)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is a fiscal deficit can lead to a higher national debt. **(1)** The US Government will have to pay more in interest on the debt **(1)** therefore leaving less available for public services such as education/healthcare **(1)** • One disadvantage is that taxes might increase to cover the debt. **(1)** Increasing taxes can reduce disposable income for households and firms. **(1)** This reduction in spending and investment can slow down economic growth **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Rising inflation reduces the purchasing power of consumers • As prices increase, consumers are likely to spend more time shopping around for better deals and discounts to stretch their budgets • This involves visiting multiple stores or browsing various online retailers thereby increasing shoe leather costs • With inflation rising to 4% in December 2023, consumers may find themselves making more frequent trips to banks • The effect of rising inflation on shoe leather costs is particularly significant for low-income consumers • These individuals may not have easy access to banking services • This makes them more vulnerable to the negative impacts of inflation and significantly increases shoe leather costs for consumers	**(6)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With GDP growth expected to remain low, reducing interest rates could further stimulate economic activity, leading to business expansion and job creation, thereby potentially reducing the high level of unemployment • As consumer spending is expected to improve in the coming years, lower interest rates would increase this effect by making borrowing cheaper, stimulating demand for goods and services, and hence encouraging firms to hire more employees • Reducing interest rates from 4.5% would make loans cheaper for firms to invest in expansion and job creation leading to further economic growth • Despite a weak outlook for China, lowering interest rates could weaken the currency, making French exports more competitive, supporting industries reliant on exports and their employment rates **AO4** • However, France's significant trade relations with Germany and reliance on global markets like China mean external economic slowdowns could dampen the effectiveness of monetary policy in reducing unemployment • The high level of unemployment suggests there may be deeper structural issues in the labour market that monetary policy alone cannot address • With the current rate at 4.5%, there might be limited room for the ECB to lower rates further, especially if they need to balance other economic objectives such as inflation, limiting the impact on employment • Monetary policy changes often have a lagged effect on the economy, meaning any potential benefits in reducing unemployment might not materialise quickly • Lower interest rates might result in capital flowing out of France seeking higher returns elsewhere, which could reduce domestic investment and job creation	**(9)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 9 of 10 · Question 3 part c · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working. **Answer**	Mark

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Lower transportation costs A is not correct because increasing these barriers would likely decrease globalisation by limiting international trade C is not correct because it is the increased significance of multinational corporations that contributes to globalisation D is not correct because this would make trade more expensive and less likely to occur	**(1)**

Question Number	What is likely to happen if a government successfully reduces unemployment? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Inflation might rise as more people have money to spend B is not correct because employment growth is associated with higher output and economic growth C is not correct because more people have jobs and therefore more money to spend D is not correct because government spending on benefits would decrease as more people are now employed	**(1)**

Question Number	What is meant by the term trading bloc? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A trading bloc is a group of countries that join together **(1)** to reduce/eliminate trade barriers between themselves **(1)** Accept any other appropriate response	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

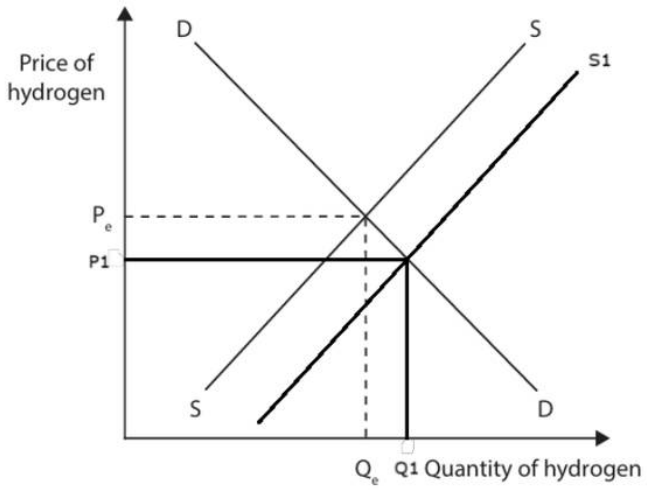
Question Number	Describe **one** impact on consumers of an increase in interest rates. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is that the cost of borrowing becomes more expensive **(1)** therefore fewer consumers take out loans to buy products **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **visible trade balance** in €bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of goods – import of goods €150bn - €120bn **(1)** Award 1 mark for the correct answer = €30bn **(1)** Award 2 marks if the correct answer is €30bn even if no calculations are shown Award 1 mark if the answer given is 30bn even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** possible benefit of a fiscal surplus for a country such as Portugal. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that Portugal can spend more money on public services **(1).** Investing more in these sectors can lead to better schools and hospitals **(1)** therefore improving the quality of life for its citizens. **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of a recovery on unemployment for a country such as Greece. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms might start hiring more people because they need more workers to meet the demand for their products or services reducing unemployment levels in Greece • Economic recovery often encourages entrepreneurs to start new businesses • These new firms will need employees, creating more jobs and increasing overall employment levels in Greece • When the economy is doing well, both firms and consumers feel more confident • Firms are more likely to invest in new projects or expand, needing more workers • Consumers spend more which can lead to more jobs in retail, services and other sectors	**(6)**

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal deficits and surpluses: meaning and effects

Answer 10 of 10 · Question 1 part g · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a government policy that changes the rate of interest? **Answer**	Mark